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June 7, 2023

EMAIL ONLY

(Brett.Kravitz@OhioAttorneyGeneral.gov)

Brett A. Kravitz
Principal Assistant Attorney General
Supervising Attorney, Oil & Gas Litigation
Environmental Enforcement Section
Office of Ohio Attorney General Dave Yost
30 East Broad Street, 25th Floor
Columbus, Ohio 43215

Re: ***State of Ohio, ex rel. Dave Yost, Ohio Attorney General v. The Landings
Property Association, Inc.***
Our File Number: 3472-222027

Dear Brett:

I write to discuss how best to resolve the claims between our respective clients in the litigation referenced above.

As you know, I represent certain homeowners in Phase VII and Phase VIII in The Landings in Mount Vernon, Ohio (the “Long Defendants”). Your Third Amended Complaint (the “Complaint”) alleged that the Long Defendants are “owners” of the Knox Cattle Company Dam (the “Dam”), as the term “owner” is defined in Ohio Adm. Code 1501:21-3-01(W).

However, there is no evidence to support that claim.

You acknowledged in an email of September 27, 2022, “Under Ohio’s dam safety laws, it is only a dam’s owner who has the legal responsibility to bring their dam into compliance and the corresponding exclusive legal right to choose the option to do so (repair, modify, breach).”

In a Motion filed on October 19, 2022 in this case, you wrote:

Only the owner(s) of the Dam are responsible for bringing the Dam into compliance with Ohio Dam Safety laws by repairing,

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modifying, or breaching it. . . . There is no basis in Ohio law or the facts of this case to consider property owners within a single ‘watershed basin’ where a privately-owned dam happens to be located to somehow be the owners of that dam they did not construct and have never owned.

You also wrote in the State of Ohio’s Consolidated Brief in Response to Motions for Summary Judgment, filed January 13, 2023, “Under Ohio’s dam safety law, the only person responsible to safely operate and maintain a regulated dam is its owner.” (page 2).

This court has previously stated in this case, Judgment Entry as to Motion for Summary Judgment of Roger and Sharon Reed, filed March 1, 2023, that nothing in the Ohio Revised Code in Chapter 1521 or in the Ohio Administrative Code indicates that the word “Owner” means anyone or anything other than the person or entity who has title to the land on which the Dam is located, and that the owner of a dam for purposes of repair and maintenance cannot be anyone or anything other than the person or entity who has title to the land on which the dam is located.

Therefore, the critical question is whether the Long Defendants are “owners” of the Dam. If they are not owners, then, under Ohio’s dam safety law, they have no responsibility to operate and maintain the Dam, and should not be defendants in this lawsuit.

The following facts are undisputed:

1. The land upon which the Dam is situated has been titled in the name of The Landings Property Owners Association, Inc. since on or about August 1, 2007.
2. None of the Long Defendants have ever owned any of the land on which the Dam is situated.
3. The State of Ohio, Ohio Department of Natural Resources, sent letters to persons it believed were the potential owners of the Dam (State of Ohio’s Consolidated Brief in Response to Motions for Summary Judgment, filed January 13, 2023, page 9) on October 14, 2009, in 2010, in 2015, on April 26, 2018, and on or about November 25, 2019. The State of Ohio did not send any of those letters to any of the Long Defendants, because it did not believe, quite properly, that any of the Long Defendants were owners of the Dam. (Id.)
4. OAC 1501:21-3-01(W) defines “owner” as those who own, or propose to own or construct a dam or levy.
5. None of the Long Defendants have ever owned or constructed, or proposed to own or construct, the Dam.

Given that the State's position in this case (with which we agree) is that only the owners of the Dam are responsible for bringing the Dam into compliance with Ohio dam safety laws, and there is no evidence that any of the Long Defendants have ever owned the Dam, the Long Defendants should be dismissed with prejudice from this case. We ask that you file that dismissal as soon as possible.

If you refuse to file the requested dismissal, please identify for me all facts and law in support of your claim in paragraph 33 of the Complaint that the Long Defendants are owners of the Dam under Ohio Adm. Code 1501:21-3-01(W). In particular, I am interested in learning from you any factual and legal basis for the relevance of the 2005 and 2007 Declarations filed and recorded by Mullins Bros., Ltd. to the question of dam ownership under the previously cited section of the Ohio Adm. Code. Our research has found no support for any proposition that anything in those Declarations makes any of the Long Defendants "owners" of the Dam, but if we are missing something, I would like to know it now.

If we have to litigate the State's claim against the Long Defendants, I expect we will be engaging in discovery, and then motion practice.

I anticipate that I will have to deal separately with the claims asserted by Mullis Bros. Ltd. against the Long Defendants in the cross-claim and Third-Party Complaint. To me, that presents a completely separate legal issue, whether someone who is not an "owner" of a dam might still have legal responsibility for maintenance of a dam given deed restrictions, contract law, and homeowner association laws. I know that your position, with which we agree, is that that is not the case, that, "Under Ohio's dam safety law, the only person responsible to safely operate and maintain a regulated dam is its owner."

Of course, even if someone other than the owner could have liability for maintenance of a dam under Ohio law, there are other problems with the claims asserted against the Long Defendants by Mullins Bros., including that Steve Mullins never set up the corporation he said he would; the Declaration squarely puts responsibility for maintenance of the Lake on the corporation, not individual homeowners; the Declaration puts no responsibility on either the corporation or the individual homeowners for maintenance of the Dam, just the Lake, and case law indicates that responsibility for one does not mean responsibility for the other; and the maximum exposure of the homeowners is \$200 per year.

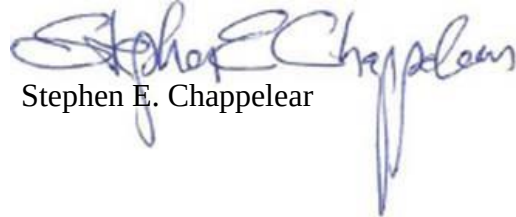
But determination of those issues need not be conflated with the basic consideration of who owns the Dam. You have said repeatedly that the State wants to get the issue of who owns the Dam resolved as quickly as possible, so remediation measures can begin. We agree. Dismissal of the Long Defendants from the State's Complaint will allow the State to focus on getting a determination as quickly as possible on who owns the Dam – which is not the Long Defendants – and then moving ahead with whatever work the owner of the Dam needs to do to bring the Dam into compliance with Ohio's dam safety laws.

Brett A. Kravitz
June 7, 2023
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Thank you for your consideration of this request. I look forward to hearing from you.

Sincerely,

EASTMAN & SMITH LTD.

A handwritten signature in blue ink, reading "Stephen E. Chappellear". The signature is stylized with a large, looped "S" and a long, trailing flourish at the end.

Stephen E. Chappellear

SEC/jrm